ABC News Markets blog
Friday 30 October 2026

Dollar steady near 70.5 US cents as iron ore flatlines

> The Australian dollar held steady on Thursday while iron ore stayed flat and oil remained expensive, a mix that squeezes Australia's terms of trade as markets wait on interest rate moves here and in the US.

WHAT HAPPENED

- The **AUD closed flat at 70.52 US cents**, after briefly touching about 70.70 cents in Asian trade.
- **Iron ore**, Australia's largest export, was unchanged at **US$90.70 a tonne**; **gold** fell 0.7% to US$4,039 an ounce.
- **Brent crude** near **US$114** raises the cost of Australia's fuel imports while iron ore receipts stay flat, putting downward pressure on the **terms of trade**.
- Markets price an ~85% chance the **RBA** lifts rates on Tuesday and an ~80% chance of a **US Fed** hike in December. The two moves push the AUD in opposite directions.

Terms of trade: export prices ÷ import prices × 100. **Interest rate differential:** the gap between Australian and overseas rates, which drives short-term capital flows.

KEY NUMBERS

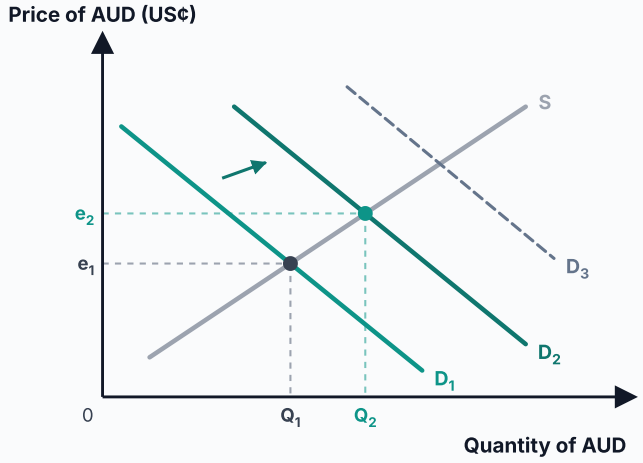
70.52¢
AUD in US cents, 29 Oct close

US$90.70
iron ore per tonne, flat

US$4,039
gold per ounce (−0.7%)

4.60%
RBA cash rate before Tuesday

DIAGRAM — Market for AUD: when rates rise here and abroad



Conceptual diagram, not to scale

An RBA rate rise attracts foreign capital chasing higher returns, so **demand for AUD shifts from D_1 to D_2** and the dollar appreciates from e_1 to e_2.

The dashed **D_3** shows the larger rise *if only Australia* tightened. Because the US Fed is also expected to hike, the **interest rate differential** barely widens, so the AUD moves less.

Exam angle: the exchange rate depends on **relative**, not absolute, interest rates. Combine this with commodity prices (iron ore) to explain AUD movements.

FLOW CHART — The exchange-rate channel

RBA lifts cash rate → Higher returns on AUD assets → Capital inflow raises demand for AUD → **AUD appreciates (less if the Fed also hikes)**

SYLLABUS LINK

Topic 2 – exchange rate determination; terms of trade and commodity prices; financial flows.
Topic 4 – exchange-rate channel of monetary policy.

TRY THIS

Explain how an increase in the RBA cash rate, with US rates unchanged, would be expected to affect the value of the AUD. **(3 marks)**

Explain how high oil prices combined with flat iron ore prices affect Australia's terms of trade. **(4 marks)**

Sources: ABC Markets blog, 29 Oct: abc.net.au/news/2026-10-29/asx-markets-business-live-news-29-october-2026/107321622